

Employing in Chile

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Código del Trabajo
- **Monthly payroll** — salary payments in CLP, itemised payslips via PreviRed
- **Tax withholding** — progressive income tax withheld and remitted to the SII
- **AFP, FONASA/ISAPRE & AFC** — pension, health and unemployment insurance administration
- **Leave and termination management** — notice periods, entitlements and severance (indemnización) guidance

Employment Conditions

Contracts & Probation

Chile has no statutory probation period — protections apply from an employee's first day. A major pension reform is phasing in new mandatory employer contributions through 2035, and the standard workweek is shortening under Ley 21.561.

Item	Detail	Legal Basis
Probation period	None — statutory protections apply from day one	Código del Trabajo
Standard workweek	42 hours from April 2026 (down from 44), no pay reduction permitted; further reducing to 40 hours by 2028	Ley 21.561
Pension reform	New employer pension contributions phasing in from 1% (Aug 2025) to 8.5% by 2035	2025 pension reform law

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	CLP 539,000/month	Effective 1 January 2026, up from CLP 500,000
Employee AFP pension contribution	10% of gross salary (plus ~1.5% AFP commission)	Fully employee-funded historically; capped at ~81.6 UF/month
New employer pension contribution	Currently ~1%–2% of gross salary, rising to 8.5% by 2035	2025 reform — a genuinely new employer-side cost layered on top of the historic employee-only system
Unemployment insurance (Seguro de Cesantía, employer)	2.4% (indefinite contracts) or 3% (fixed-term)	Employee adds 0.6% (indefinite only)
Accident insurance	~0.93% (base rate, industry-dependent)	Employer-funded

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	15 working days/year	Employer	Código del Trabajo minimum; rises with tenure at the same employer
Legal Gratification (profit-sharing bonus)	25% of monthly salary, capped at a set number of monthly minimum wages/year	Employer	Mandatory unless the employer already distributes 30%+ of profits some other way
Maternity Leave	18 weeks (6 before + 12 after birth)	State subsidy (100% of salary, capped)	Extendable via shared parental leave

★ HERO TIP

Chile's 2025 pension reform is a genuine structural shift — for the first time, employers (not just employees) will contribute directly to the pension system, rising from roughly 1% today to 8.5% by 2035. Budget for this gradual increase in any multi-year Chile hiring plan, and confirm the current-year rate with your HeroForce EOR since it changes annually through the transition.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
New employer pension contribution (illustrative, 2%)	\$60.00	2.00%
Unemployment insurance, employer (2.4%)	\$72.00	2.40%
Accident insurance (0.93%)	\$27.90	0.93%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,759.90	~125.3%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Employee deductions (withheld separately) include AFP pension (10%+commission), health (7%) and unemployment insurance (0.6%, indefinite contracts) — historically the bulk of Chilean payroll deductions sit on the employee side, though this is

shifting under the 2025 reform.

Income Tax

Chile applies progressive income tax rates calculated in UTM (Unidad Tributaria Mensual, a monthly-adjusted tax unit), with rates rising through several brackets for higher earners.

Termination & Separation

Severance (indemnización por años de servicio) applies to dismissals not for cause, calculated as 30 days' salary per year of service, capped at 11 years (330 days total) — this applies from an employee's very first day, since Chile has no statutory probation period to exclude.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
3 April	Good Friday	National
1 May	Labour Day	National
21 May	Navy Day	National
~June	National Day of Indigenous Peoples	National
29 June	Saints Peter and Paul	National
15 August	Assumption Day	National
18–19 September	Independence Day and Army Day (Fiestas Patrias)	National
12 October	Columbus Day (Meeting of Two Worlds)	National
31 October	Reformation Day	National
1 November	All Saints' Day	National
8 December	Immaculate Conception	National
25 December	Christmas Day	National

Ready to hire in Chile?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Chile employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).